BANK OF AMERICA

FINANCIAL OPERATIONS RESEARCH

ARNAV DAS &
BHANUTEJA ALLURI

Feb. 28, 2025

Rock Ridge High School
43460 Loudoun Reserve
Dr, Ashburn, VA 20148

ARNAV DAS &
BHANUTEJA ALLURI

TABLE OF CONTENTS

I. EXECUTIVE SUMMARY

BUSINESS OVERVIEW:

2nd Largest Bank in North America	$3.3T (USD) Assets Under Management (AUM)
69M Customers Globally	$27.1B Net Income

Bank of America, headquartered in Charlotte, North Carolina, is a leading global financial institution offering consumer and business banking, wealth management, and investment services. With operations in over 35 countries and a workforce of more than 200,000 employees, the bank serves about a quarter of the U.S. population. Known for its digital banking innovations and customer-focused approach, Bank of America remains a key player in the global banking industry.

PURPOSE

At Bank of America, we believe Diversity & Inclusion (D&I) drives innovation, employee engagement, and customer satisfaction. By fostering an inclusive culture and using AI to attract diverse talent, we can improve productivity and better meet customer needs. This report outlines our strategy to integrate AI into recruitment and internship programs, helping us find and develop future leaders. Prioritizing D&I will strengthen our workforce and enhance customer experiences, driving growth for the company.

RESEARCH METHODS:

Secondary Research:

Bank of America's financial performance was assessed through its SEC filings. Available annual reports were analyzed to deepen our understanding. Information from their website was also used as an additional source.

Surveys:

A randomized survey was organized via Google Forms with a total of 48 responses from Bank of America employees. The data were organized into groups and analyzed using Google Sheets.

Interviews:

We conducted in-depth interviews with Mr. Curtin, a Managing Director at Bank of America, Ms. Zhang, a IB Associate, and Mr. Martinez , a Analyst, to gather comprehensive Information into Bank of America's recruitment procedures and AI initiatives. The interviews were conducted through a series of emails and video calls.

Third-Party Consultations:

We used additional financial resources such as the Bank of America's website to do a comprehensive study of the recruitment process. Through professional consultations, it can be concluded that there are some worries regarding some practices that have been used in the recruitment process, and the current company culture.

Employee Consultations:

13 Bank of America employees were interviewed outside a CO-affiliated branch in Ashburn, Virginia, to gather their opinions

FINDINGS AND CONCLUSIONS:

Opportunites

- AI-driven recruitment could improve diversity and inclusivity.
- Expanding AI customer tools could boost customer loyalty and satisfaction.
- Increasing leadership diversity could enhance employee engagement.

Weaknesses

- Diversity gaps in leadership and struggles with attracting top-tier talent.
- Cultural challenges related to low diversity ratings among employees.
- Slow adoption of AI in internal operations.

Strengths

- Strong focus on AI and technology, with tools like Erica and planned $4 billion investment.
- Significant increase in AI patents, positioning the bank as a leader in innovation.
- Commitment to employee development through tools like Coach.

Threats

- Competition from banks like JPMorgan and Capital One advancing in AI.
- Resistance to AI-driven changes and regulatory challenges.
- Risks from fintech startups and market volatility.

PROPOSED STRATEGIC PLAN:

The ***AIMS*** initiative outlines four key objectives to align with Bank of America's commitment to diversity, equity, and inclusion, while leveraging AI to build a more diverse, skilled, and innovative workforce for a more efficient and productive future.

Objective #1: Attract and Enhance AI Talent: Use a skill-based AI recruiter to identify qualified candidates, removing bias and ensuring a diverse talent pool, while streamlining the recruitment process.

Objective #2: Inclusive AI Training and Community Engagement: Implement AI training programs to build AI literacy, ensuring employees engage productively and ethically with AI tools while fostering inclusivity.

Objective #3: Evaluate Consumer Impact: Continuously assess AI's effect on customer satisfaction by analyzing behaviors and preferences, ensuring AI enhances personalized support while maintaining transparency.

Objective #4: Standardize Evaluation Process: Use AI to standardize employee evaluations, ensuring fairness and objectivity, identifying performance gaps, and creating a more open and clear work environment.

PROPOSED ACTIVITIES:

Attract Diverse Talent: Utilize AI tools like AIM AI to prioritize skills and potential in recruitment, rather than traditional metrics. Enhance the internship selection process to focus on diversity, engaging with diversity-focused networks and career events for broader outreach.

Integrate AI and Inclusivity: Integrate AI and Inclusivity: Host monthly "Tech & Innovation Week" events to engage employees, fostering an inclusive AI culture across all levels.

Measure Customer Satisfaction: Use Natural Language Processing (NLP) to analyze customer feedback from surveys, social media, and other sources, identifying issues and improving service quality in real-time to boost satisfaction and loyalty.

Set Measurable Goals: Regularly evaluate the effectiveness of D&I initiatives by tracking AI-driven hiring outcomes, team dynamics, innovation, and employee feedback. Adjust strategies based on these assessments to continuously improve.

PROPOSED METRICS:

AI-Driven Diverse Talent Acquisition	AI Integration Success in Internships	Tech Week Employee Engagement	Customer Satisfaction via AI
25% increase in applicants from diverse backgrounds through AI-driven recruitment.	20% increase in intern retention rates post-internship, based on AI-related and overall performance.	90% participation in Tech & Innovation Week and 80% completion rate for AI-related challenges.	20% reduction in customer complaints identified through AI sentiment analysis.

PROPOSED TIMELINE:

Q1-Q2 2026	Q3-Q4 2026	Q1-Q2 2027	Q3-Q4 2027
Create AIM AI and begin development of AIMS internship and admissions and Tech & Innovation Week via Intelligence Receivables.	Evaluate consumer feedback via NLP AI and review employee growth throughout the internship and Tech & Innovation Week.	Recruit new employees from AIM internship and reinstate it, sending out surveys for employee's experiences and growth with AI.	Reallocate newly experienced employees with using AI to various sectors and evaluate total employee and consumer feedback.

PROPOSED BUDGET:

The suggested strategic plan and activities for AIMS will cost a total of $3,480,000 (USD). This payment is spread out across nearly two years, or eight quarters. A comprehensive budget is provided on page 18 of this report, under the "Proposed Strategic Budget."

AIMS Internship Program

$2,250,000

- Recruitment efforts for diverse candidates using AIM AI
- Implementation of blind recruitment methods
- Salraries for new employees recruited from internship

Tech & Innovation Week

$40,000

- Development of Tech and Innovation Week
- Optimization and Maintenance of program
- Retraining staff

NLP AI & Consumer Data

$235,000

- Creating NLP Techniques AI and implementing various maintenance & adaptive changes throughout the years
- Improvements for customer and employee satsifaction and retention

Standardized Evaluations

$955,000

- AI programmers for AIM Internship and NLPs
- AI experienced developers to maintain and improve AI systems

II. INTRODUCTION

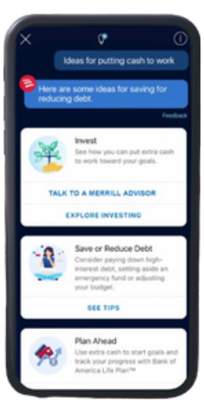
A. Description of the business/organization

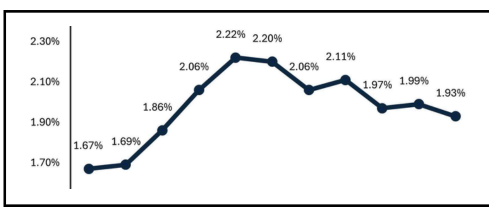
Bank of America is among the largest financial institutions worldwide, offering diversified banking, investment, and financial services. BoA is a multinational banking and financial services institution headquartered in Charlotte, North Carolina, and proudly serves millions of individual, business, and institutional clients globally.

Bank of America, the second-largest bank in North America, holds over $3.3 trillion in assets as of 2024. Serving 69 million U.S. consumers and employing over 200,000 across 35+ countries, it operates 4,100 retail financial centers and 16,000 ATMs globally, solidifying its role as a financial leader. In the fiscal year 2024, they reported approximately $27.1 billion net income and a revenue base crossing over $101 billion, with fairly solid performances through all diversified business lines across retail banking, wealth management, and investment banking. Its international presence keeps it at the top of global and U.S. market rankings. With a focus on innovation, a broad range of services, and a customer-centric approach, it leads the banking industry worldwide.

Bank of America's Core Values

Bank of America's core values guide its mission to improve financial lives and shape its culture. These values include a commitment to Deliver Together by fostering personalized interactions, empathy, and a disciplined passion for serving clients, teammates, and communities. The company emphasizes the importance of Acting Responsibly through integrity, disciplined risk management, and making decisions that are clear, fair, and focused on shared success and responsible citizenship. Additionally, Bank of America seeks to Realize the Power of Our People by supporting employees in reaching their full potential, valuing diverse backgrounds and experiences, and respecting individual differences. Finally, the company underscores the need to Trust the Team, building strong teams based on mutual trust, shared ownership, and accountability while acting as one cohesive organization to meet client needs and deliver shareholder value. These principles are central to the company's operations, creating collaboration, integrity, and diversity to drive success.





Screenshot showing Bank of America's net interest income in the year dated 2021-2024 in millions ($USD).

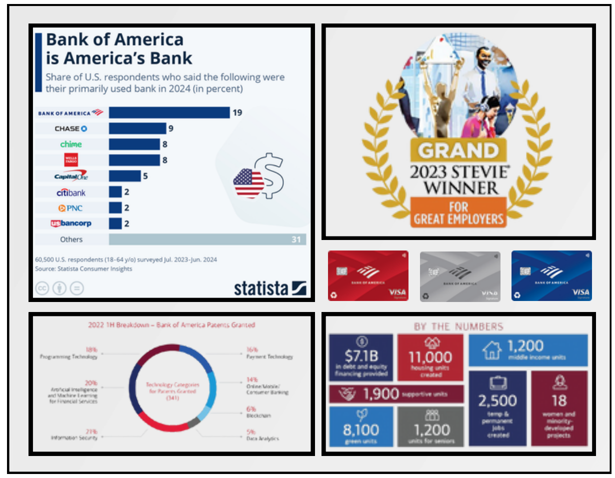
At Bank of America, phenomenal growth in digital banking is reflected through over 55 million active digital banking users and over 40 million monthly active mobile app users. The shift to digital has greatly benefited the bank by improving customer engagement and boosting operational efficiency. In this context, the bank's net interest income performed strongly, driven by higher interest rates and strong loan demand. The increase in net interest income has strengthened Bank of America's profitability, reinforcing its strong financial foundation. With its expanding digital banking strategy, the bank is well-positioned for continued growth and stability.

"Fundamental to who we are is being a great place to work and investing in the people who serve our clients and live and work in local communities across the U.S. and around the world."

- Brian Moynihan, Chief Executive Officer of Bank of America

Institutional and Commercial Banking Products:

Bank of America's comprehensive suite of institutional and commercial banking products—including treasury management, lending solutions, and capital markets services—has significantly contributed to its financial performance. In the first nine months of 2024, the bank reported approximately $88 billion in profits, representing 44% of the industry's profits, the highest since 2015.



Bank of America Provides Consumer Banking Products:

Bank of America offers a wide range of consumer banking products, including checking and savings accounts, credit cards, mortgages, auto loans, and personal loans, tailored to meet diverse financial needs. Through innovative digital platforms like the Bank of America mobile app and virtual assistant Erica, customers enjoy convenient access to manage their finances and make informed decisions anytime. Personalized advice from branches and relationship managers provides customized solutions to help clients achieve their financial goals. These offerings benefit consumers by enhancing financial control while driving profitability for the bank through strengthened customer loyalty, consistent revenue streams, and a solid leadership position in the financial industry.

BANK OF AMERICA

B. Description of the target market (demographic, psychographic, geographic)

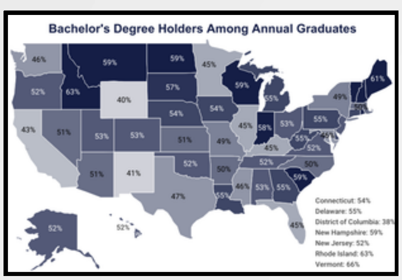
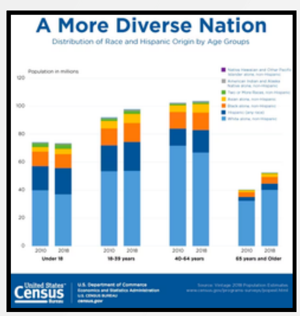
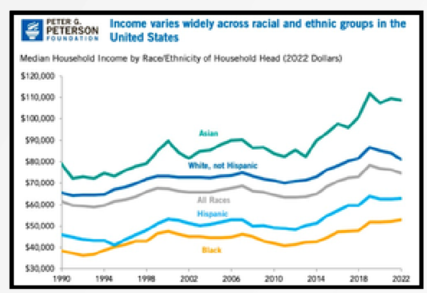


Chart illustrating the percentages of annual graduates in each state who possess a bachelor's degree.



Displaying the various ethnicities/ages of within the United States.



Median Household Income of the United States population by Race/Ethnicity

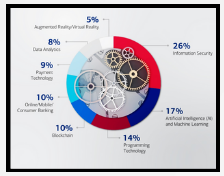
Demographics:

As of March 2024, from Bank of America, 21% of the people between the age group 18-29 reported having their primary bank account. The workforce of the bank also reflects the Bank of America's commitment to diversity, since 53% are Whites, 20% are Hispanic or Latino, and 12% are Black or African American. With limited data on the exact education levels of its customers and their average incomes, Bank of America deals with a wide range of customers, be it the wealthy whose investable assets are between 100,000 to 1 million dollars, or those dealing with financial inclusion problems, realizing that people below the $50,000 salary threshold are most likely to struggle with banking issues. This diverse customer base underlines the role of Bank of America in providing financial services across different segments of the U.S. population.

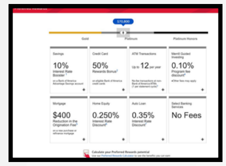
Psychographics:

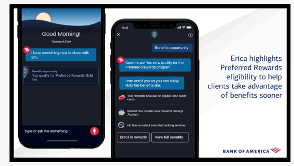
Bank of America serves a diverse consumer base with varying psychographic profiles, where many customers prioritize financial security, convenience, and digital access. Approximately 35% of Bank of America's customers actively use the mobile app for banking, with more than 34 million mobile banking users in the U.S. as of 2023. Many clients are tech-savvy and make use of the bank's online tools, such as the virtual assistant Erica®, which helps over 20 million customers manage finances and track spending. There is also a notable segment of aspirational consumers seeking financial growth, with Bank of America's investment services reaching over 6 million customers through Merrill Edge and other wealth management offerings. Additionally, the bank's commitment to social responsibility resonates with many customers, with over $30 billion invested in communities, financial education, and environmental sustainability as part of its corporate initiatives. This focus on inclusion and personalized service helps Bank of America build strong, long-term customer relationships.

CONVENCIENCE & SECURITY



BANK OF AMERICA





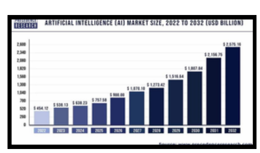
Bank of America is implementing leading-edge technology to grant customers more convenience and security in banking. With the bank app, online banking, and virtual assistant Erica, one can easily access his or her account, transfer money, pay bills, and get information about his or her money while keeping track with ease, holding just a smartphone or computer. The technologies have made it easier to bank and have made access so easy that even elderly people can perform tasks without any difficulty. Bank of America is committed to protecting customer data and transactions. For this purpose, leading-edge technology has been employed through encryption, multi-factor authentication, and fraud monitoring across the network in real-time. All these put together ensure that customers can manage their financial life with peace of mind securely and efficiently.

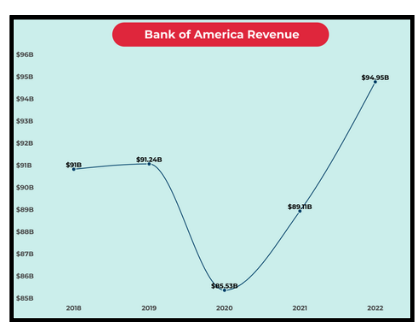
Geographics of Bank of America:

Bank of America has a strong presence in all states across the country, with over 4,000 branches and more than 16,000 ATMs across the country, hence easily accessible to both urban and rural populations. It serves approximately one-quarter of the U.S. population in major metropolitan areas such as New York, Los Angeles, and Chicago but also operates in underserved communities, with 25% of its branches located in rural areas. In recent years, the focus of Bank of America has shifted toward digital banking. Today, 88% of consumer interactions happen digitally, while active digital banking users have crossed the figure of 35 million by 2024. In turn, this will help Bank of America reach all types of customers, from the densest cities down to far-flung areas, both physically and digitally. Blended into one along with a mobile-first approach, the physical infrastructure places it well to create accessible financial services for all customers throughout the country, including those living in underserved communities.

C. Overview of Bank of America's Current Artificial Intelligence Strategies and Usage

Bank of America has been able to successfully integrate AI into its operations through various financial technology innovations, includingErica®, which is the bank's virtual financial assistant. Erica® delivers several different financial management capabilities by using AI to give users personalized insights, track spending, offer budgeting tips, and even help with transactions. For Bank of America, Erica® enhances operational efficiency because it takes over from staff the handling of basic inquiries and tasks that require customer service attention. This enhances an organization's cost-effectiveness because the bank is able to provide services in less time and also more accurately. To the consumers themselves, Erica® represents huge convenience in that customers can find financial guidance 24/7 through the use of the mobile app, which makes tracking finances easier, enables goal setting, and even generates proactive notifications based on spending patterns. Efficiency combined with personalization will enhance customer satisfaction and loyalty, which in turn ensures better customer retention and a rise in the usage of the bank's different products and services. Bank of America's strategic integration of artificial intelligence (AI), particularly through its virtual assistant Erica®, has significantly bolstered the company's financial performance.





Since Erica's launch in 2018, it has facilitated over 2.4 billion interactions, with more than 45 million clients utilizing the service. That type of broad-based adoption helped drive a 19% gain in earnings, with Erica at the front of increased customer engagement and operations. Bank of America allocated about $4 billion of its annual $12 billion technology budget to new initiatives in 2024, including the betterment of AI. The bank's AI patent portfolio is up 94% since 2022. It is those AI-driven initiatives that have not only enhanced Bank of America's operations but also generated more satisfied customers and new streams of revenue-firmly holding Bank of America's position within the financial industry.

III. RESEARCH METHODS USED IN THE STUDY

A. Description and rationale of research methodologies selected to conduct the research study

Through collaboration with Bank of America, we thoroughly examine their current AI strategies and practices in areas such as customer experience, fraud detection, and data analysis. utilizing a comprehensive mix of primary and secondary research methods. The research includes conducting surveys, consulting with third-party AI experts, and holding in-depth interviews with key team members from various departments. Additionally, secondary research, such as analyzing industry reports, case studies, and market trends, is conducted to identify best practices and emerging opportunities. By combining qualitative and quantitative data, we aim to identify weaknesses, eliminate biases, and develop a tailored AI strategy that enhances efficiency and drives innovation for Bank of America.

— Chris Hyzy, Chief Investment Officer, Merrill and Bank of America Private Bank

"AI should transform the global economy as electricity and the steam engine did in their own times."

Research Method	Description	Rationale
INTERVIEWS	Mr. Curtin (Managing Director): • AI tools like Erica and CashPro Chat enhance customer service and automate tasks for better productivity. • iCoach provides personalized employee coaching, with a focus on making AI inclusive, though room for improvement exists. Ms. Zhang (IB associate): • Traditional recruitment methods (e.g., GPA, degree criteria) • Lack of diversity and inclusivity in leadership positions Mr. Martinez (Analyst): • Attractive salary make Bank of America a desirable employer. • Challenges in acquiring top talent, particularly in competing with larger banks. Increasing diversity could be beneficial. as a more inclusive workplace may attract individuals	• Interviews with key team members across various departments provided valuable insights into Bank of America's current AI practices. • These conversations helped us understand the challenges, opportunities, and motivations behind their AI strategies. • Direct discussions with those involved in AI projects allowed us to uncover hidden obstacles and areas for improvement that may not have been visible through other data sources. • The interviews added context and emotional depth to our quantitative findings, offering a more complete understanding of the bank's AI landscape. • These insights helped guide the development of a more customized and effective strategic plan.
EMPLOYEE CONSULTATIONS	• Consulted 13 Bank of America team members in Ashburn, to discuss AI practices. • Identified concerns about AI complexity and usability. • Highlighted the need for better training and more inclusive AI applications for diverse customers.	• Consultations gave us valuable insights into the real-world challenges and opportunities of AI at Bank of America. Hearing directly from those involved added a human perspective that data alone couldn't provide, helping us shape practical and meaningful recommendations.
SURVEYS	• A survey conducted through Google Forms gained a total of 48 responses from Bank of America employees. The responses were categorized into groups, and data analysis was performed using Google Sheets.	• Provide important qualitative data, motivations, and concerns. A survey allowed us to quantify these insights, converting them into measurable metrics. This strengthens our report by providing statistical evidence to support our conclusions and recommendations.

Research Method	Description	Rationale
SECONDARY RESEARCH	SEC Filings: • Provide official data on financials, operations, and risks, offering a solid foundation for analysis. Bank of America Annual Report: • Supplements official data with current news, updates, and strategic initiatives.	• Possessing factual SEC financials can enhance credibility and offer valuable insights. • The annual report keeps us abreast of recent developments and strategic shifts, ensuring our analysis remains relevant and forward-looking.
THIRD-PARTY CONSULTATIONS	Professional Consultations: • Expert feedback identified key challenges and opportunities in Bank of America's current AI practices, including potential issues in system integration and efficiency. Consulting Research: • Professional research firms offered valuable insights into the latest AI trends and best practices. They highlighted how effective AI strategies can enhance customer experiences and drive innovation, showing a clear link between advanced AI use and overall success.	• Used expert consultations to identify hidden challenges and inefficiencies in Bank of America's existing AI practices, such as system integration and user adoption issues. • Compared professional research firms' insights on AI and various products to Bank of America's implementation of AI such as the Erica sector of the company

B. Process used to conduct the selected research methods

Interviews

Interviews were conducted throughout the month of October and the first week of November 2024. A specific set of 25 questions was made to get more insights into Bank of Americas AI methods.

Employee consultations

13 Bank of America employees were interviewed outside a CO-affiliated branch in Ashburn, Virginia.

Surveys

The survey concentrated on employees' views of their company's recruitment and hiring practices. With (whoever we interview) authorization, the survey was distributed via email at Bank of America.

Secondary Research

Downloaded relevant filings from the SEC Edgar database or Bank of America's investor relations website. Used financial modeling software or spreadsheets to analyze data on income statements, balance sheets, cash flow statements, and management discussions & analysis sections.

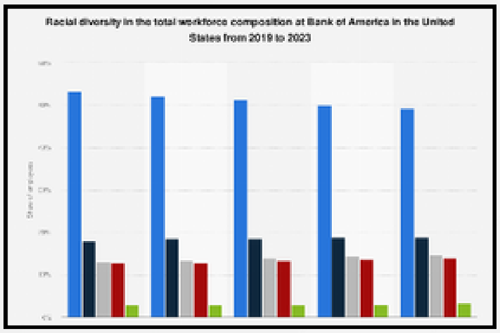
Third-Party Consultations

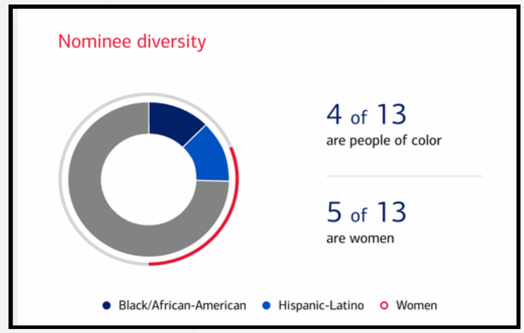
We explored data on Bank of America's AI budget, technology infrastructure, and strategic initiatives to understand the context of their AI needs. Studies on the impact of AI adoption were key to shaping our plan. These studies helped us demonstrate how AI integration can improve efficiency, enhance customer experiences, and drive revenue growth.

IV. FINDINGS AND CONCLUSIONS

A. Findings of the Research Study

Despite Bank of America's strengths in training, compensation, and onboarding, significant challenges remain in fully utilizing AI to foster a diverse and inclusive workforce. Leadership roles lack sufficient representation (around 60% of high officials and associates are white), and analyst programs struggle to attract top-tier talent due to competition and limited flexibility. By integrating AI into recruitment, Bank of America can identify candidates from nontraditional backgrounds, enhancing inclusivity and innovation. AI tools can also analyze diversity gaps, guiding targeted efforts to improve representation at all levels. Studies show that increasing diversity through AI-driven strategies boosts profitability, strengthens employee engagement, and builds trust among customers who value inclusivity.





Key Findings

Our research focused on gathering insights into Bank of America's AI and recruitment strategies by interviewing employees across career levels, from analysts to senior directors. These discussions explored how AI can improve talent acquisition, diversity, and customer satisfaction by making processes more efficient and personalizing services. Key questions from these interviews highlight the company's challenges and opportunities.

Questions	Answers
How do you assess the effectiveness of the AI tools and systems currently in use at Bank of America?	The tools are pretty effective overall. Erica, our virtual assistant, is probably the standout—it handles a ton of customer questions smoothly and helps reduce the workload for employees. That said, there's room for improvement, especially in integrating these tools better into back-office processes. Sometimes it feels like we're still figuring out how to get the most out of the systems we have.
In your time here, have you seen any specific initiatives or efforts to ensure AI is being used responsibly and inclusively?	Yes, Bank of America emphasizes responsible AI use in training. We utilize AI-powered tools like iCoach to provide personalized coaching and feedback to employees, enhancing their skills and performance. Regular evaluations ensure these tools function as intended, though there's always room for improvement in making AI as inclusive as possible.
How do you think AI could improve the efficiency or effectiveness of your team or department?	AI can significantly enhance our department's efficiency by automating tasks like scheduling and workflow management, leading to better organization and productivity. Additionally, AI-driven recruitment tools can help us build a more diverse workforce by identifying and attracting a broader range of candidates.

Questions	Answers
Can you share your thoughts on how AI is currently used to enhance customer service and improve customer experiences at Bank of America?	we're leveraging AI to enhance customer service and improve experiences. Our virtual financial assistant, Erica, helps clients with tasks like budgeting and payments, offering fast and intuitive support. Additionally, our CashPro Chat platform assists corporate clients with their treasury operations, providing quick access to transaction information and account details. These AI-driven tools demonstrate our commitment to using technology to better serve our clients.
Who do you see as Bank of America's main competitors in AI development and innovation within the banking sector?	At Bank of America, we recognize that the banking sector is highly competitive, with major players like JPMorgan and Capital One leading in AI development and innovation. While these institutions are making significant strides, we differentiate ourselves by integrating advanced technology with a strong human touch, ensuring that our clients receive both innovative solutions and personalized service.
How do you foresee AI impacting the workforce and the company's operations in the next 5-10 years?	I anticipate that AI will significantly transform our operations over the next 5 to 10 years. By automating routine tasks, AI will enable our teams to concentrate on more strategic, client-focused activities, thereby enhancing efficiency and service quality. Additionally, I am excited about the potential of AI to diversify our workforce by identifying and attracting talent from a broader range of backgrounds, aligning with our commitment to for a more diverse and inclusive work force.

Customer Surveys (Quantitative)

A survey conducted through Google Forms gained a total of 48 responses from Bank of America employees. The responses were categorized into groups, and data analysis was performed using Google Sheets. The survey concentrated on employees' views of their company's diversity within the company. With Mr. Curtin's authorization, the survey was distributed via email at Bank of America.

Question 1

What is your opinion on the need for Bank of America to improve its diversity and inclusivity environment?(On a scale from not important to extremely important.)

Question 2

How would you rate your ability to adapt to change and work effectively in an environment with evolving priorities? (On a scale of not adaptable to highly adaptable.)

Question 3

How comfortable are you interacting with and learning from individuals from different backgrounds and perspectives? (On a scale of uncomfortable to very comfortable.)

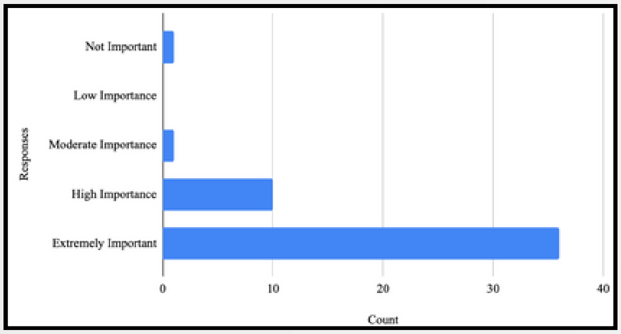
Question 4

How interested are you in participating in Bank of America's community engagement initiatives, such as technology conventions? (On a scale from not interested to very interested.)

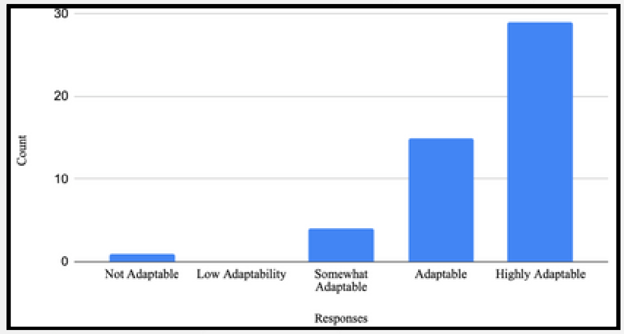
Question 5

How would you assess the level of diversity and inclusivity in Bank of America's culture?
(On a scale of very low to very high.)

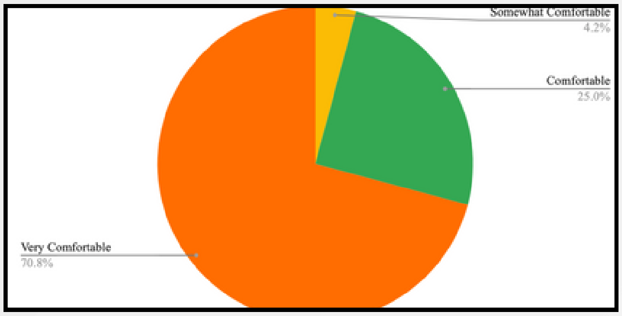
Question 1
A Diverse Workplace



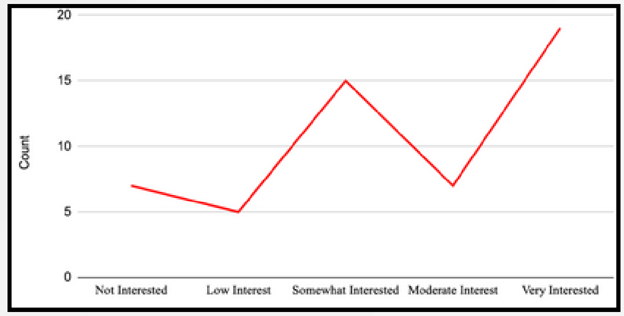
Question 2
Adaptability to Change



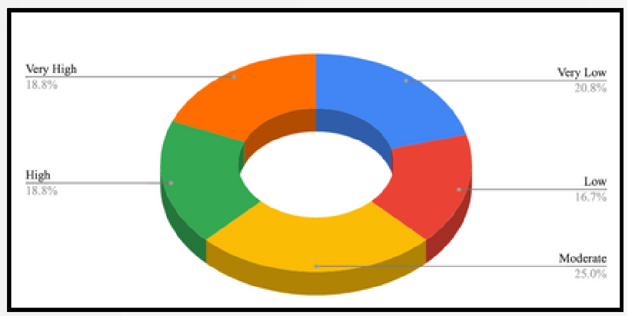
Question 3
Diverse Perspectives



Question 4
Community Initiatives



Question 5
Diversity Assessment



Great Place To Work®
Certified
JUL 2024–JUL 2025
USA

Diversity Effectiveness

According to the survey, 75% of the respondents regard diversity and inclusion as highly valuable to the company. 95% stated that they are comfortable or very comfortable collaborating and learning from people with different backgrounds. This response shows how much people want more diverse working places. Consequently, these viewpoints not only create a favorable environment for employees but also agree with the possibility of raising profits.

Enhancing Diversity and Inclusion through AI Integration

More than 60% of employees demonstrate high adaptability to company changes, showcasing considerable flexibility in response to productivity-driven shifts. Implementing AI-driven diversity and inclusion initiatives, such as the A.I.M.S. plan, is likely to be well-received by the workforce. AI can help identify and mitigate biases in recruitment, leading to a more diverse talent pool. This approach creates a collaborative and innovative environment by ensuring individuals from all backgrounds feel valued. Moreover, diverse leadership can motivate employees to excel, potentially boosting overall company performance.

Need for Diversity

Improving this part of the culture can play a key role in reducing stress and providing a more resourceful environment. The fact that 37.5% of employees believe that Bank of America has either low or very low diversity, while only 18.8% view it as very high, highlights the need for change. This indicates that the current culture lacks sufficient inclusivity and diversity and needs reformation. The implementation of the AIMS plan (pg. 13) will significantly elevate these statistics.

B. Conclusions Based on Findings

Findings from observing the effects of increased D&I initiatives in other financial institutions

A growing body of evidence demonstrates a direct link between diversity and financial performance in the financial sector. Studies by McKinsey & Company and others consistently show that companies with more diverse leadership teams and workforces outperform their less diverse counterparts. For example, companies in the top quartile for racial and ethnic diversity are 30% more likely to have above-average financial returns, while those in the top quartile for gender diversity see a 15% increase in profitability. This positive correlation holds true across various metrics, including earnings before interest and taxes (EBIT), return on investment (ROI), and market share.

Diverse teams bring a wider range of perspectives and experiences to the table, leading to more innovative solutions and better decision-making. They also tend to be more engaged and productive, providing a more positive and inclusive work environment. By increasing diversity at all levels, financial institutions can unlock significant competitive advantages and drive sustainable revenue growth.

- A 2015 study by McKinsey & Company found that companies with diverse leadership teams have 21% higher profitability on average.
- For every 1% increase in gender diversity, S&P 500 companies see a 3% increase in ROI (Credit Suisse, 2015).
- Teams with cultural diversity are 60% more likely to outperform their less diverse counterparts (Forbes, 2019).
- Companies with diverse executive teams (including gender, ethnicity, and LGBTQ+) have 19% higher revenue from products, driven by greater innovation and a greater market reach.
- Companies with inclusive cultures experience 20% higher employee engagement and 28% higher profitability. (Deloitte 2019)
- Diverse investment teams generate 17% higher net profits than non-diverse teams due to superior decision-making. (Boston Consulting Group , 2019)
- Diverse companies are better positioned to understand and serve diverse customer segments, leading to increased market share and customer loyalty. (McKinsey 2019)

Identifying bias in recruitment practices: Findings from the Ban-the-Box study

A comprehensive field experiment by the University of Michigan reveals significant insights into the effects of "Ban the Box" (BTB) policies on employment practices. BTB policies aim to reduce barriers to employment for individuals with criminal records by prohibiting questions about criminal history on initial job applications. However, the study uncovered unintended consequences related to statistical discrimination.

Employers who could no longer ask about criminal records were observed to statistically discriminate more based on race. Before BTB, white applicants to affected companies received 7% more callbacks than similar Black applicants; after BTB implementation, this gap surged to 45%. This change indicates employers inferred criminality based on racial demographics when explicit information was unavailable.

MICHIGAN LAW
UNIVERSITY OF MICHIGAN

The findings of this study highlight the persistent biases that still influence modern recruitment practices, showing how policies meant to ensure fairness can unintentionally reinforce inequality. In today's hiring process, decisions are often shaped by judgments about candidates' race or background, instead of focusing on their individual qualifications. The study shows how the Ban-the-Box policies, which remove questions about criminal records, led employers to lean on racial stereotypes, unfairly disadvantaging Black applicants and increasing the gap in job opportunities. This highlights a wider issue in recruitment, where systemic bias prevents certain groups from having an equal chance to compete.

These findings highlight the urgent need to address bias directly to ensure fair hiring practices. By using AI, we can remove human prejudice, simplify decision-making, and offer equal opportunities to everyone, helping create a more inclusive workforce.

SWOT ANALYSIS

Strengths

Bank of America has demonstrated a strong commitment to leveraging advanced technology to enhance client and employee experiences. A key example is the AI-driven virtual assistant, Erica, which has facilitated over 1 billion interactions since its launch in 2018, solidifying the bank's position as a leader in AI innovation. This dedication to innovation is further highlighted by a 94% increase in AI and machine learning patents since 2022, bringing the total to nearly 1,100 patents and applications. Furthermore, the bank plans to invest $4 billion in technology initiatives in 2024, including generative AI projects, reflecting its proactive approach to staying competitive in a tech-driven industry. Tools like iCoach further highlight its focus on employee growth and development, emphasizing a commitment to innovation and progress.

Weaknesses

Despite these advancements, Bank of America faces notable challenges. Diversity gaps remain in leadership, with 60% of high-ranking officials and associates being white, pointing to a lack of representation at senior levels. Additionally, analyst programs struggle to attract top-tier talent due to rigid recruitment practices and competition. Cultural challenges are evident, as 37.5% of employees believe diversity levels are low, with only 18.8% rating them as very high. These issues suggest that the bank's inclusivity efforts are not fully resonating with all employees. Lastly, while customer-facing AI tools like Erica excel, the integration of AI in back-office processes lags behind, creating inefficiencies that could impact operational effectiveness.

Opportunities

Bank of America has several opportunities to address challenges and strengthen its competitive edge. Integrating AI into recruitment could help attract candidates from nontraditional backgrounds, fostering inclusivity and addressing diversity gaps. Enhancing diversity metrics through AI analysis could align with employee expectations and industry benchmarks, boosting profitability and satisfaction. A more diverse talent pool can drive innovation, as diversity strongly correlates with increased market share and profitability. Improving leadership representation offers a chance to boost employee engagement and trust. Additionally, expanding customer-centric AI tools like Erica and CashPro Chat could enhance loyalty and satisfaction, reinforcing the bank's reputation for innovation.

Threats

Bank of America faces several threats that could impact its growth and competitiveness. The banking industry is becoming more competitive, with companies like JPMorgan and Capital One enhancing their AI capabilities, putting pressure on the bank to keep up with technological advancements. Employee resistance to AI-driven changes is also a concern, as fears of job displacement and cultural shifts could slow the adoption of new technologies. Regulatory challenges are expected to grow as AI plays a larger role, with increased inspection and compliance costs that need to be carefully managed. Internal resistance to diversity and inclusion initiatives may also slow progress, reducing the effectiveness of planned improvements. Lastly, the rise of fintech startups and market volatility could affect the bank's ability to sustain its investments in innovation and technology.

V. PROPOSED STRATEGIC PLAN

A. Objectives and rationale of the propoosed strategic plan

Objective #1: Attract and Enhance AI Talent

Currently, recruiting highly skilled employees is a difficult task for any company. Identifying the specific skill sets needed for various jobs is a tediously onerous task, especially amongst hundreds of thousands of applicants. In addition to this, recruiters must put aside any and all biases towards any applicants which can also be difficult depending on each person and furthermore, Bank of America specifically is notorious for having biases towards certain candidates. Bank of America does not have a solution to this major employee recruitment issue which can severely impact their future in the long-run. In order to solve this issue, Bank of America should create and implement an AI specifically designed for recruiting employees that possess the specific skills and qualifications needed by Bank of America at the highest level. This would elimate the possibility for biases when it comes to recruiting because an AI will only be able to understand an applicant's qualifications and skills on paper. This would be able to narrow their search to a smaller percentage of applicants that are qualified for the job at the level that Bank of America needs and demands for their future. Additionally, having a skill-based AI recruiter would save a lot of valuable time for current employees at Bank of America, allowing them to reallocate their time for other important affairs. This would primarily include of personally interviewing the select percentage of candidates that would be fit for Bank of America as per the AI recruiter.

Objective #2: Inclusive AI Training and Community Engagement

As technologies are always growing throughout the years, they are always seen expanding into various sectors of our daily lives. Businesses have significantly changed due to the recent uprising of AI and its incredible abilities such as completing various tasks that would typically take hours or days for a human to complete. Bank of America also needs to adapt to these modern changes and the rapid growth of AI by preparing its employees for the future. Employees should be specifically trained to learn how to work and utilize AI productively and efficiently. This can allow for major economic growth for Bank of America because of the increase in production and tasks accomplished. Additionally, Bank of America employees would be able to reallocate their time to interact with consumers at a more frequent rate. Although the Erica sector is very popular and successful, it would also be highly beneficial for consumers to be able to communicate and engage with human employees as well because major financial decisions are dependent on many factors beyond what an AI can comprehend.

Objective #3: Evaluate Consumer Impact

Measuring and evaluating AI consumer impact is important to ensure that Bank of America's technological advances stay aligned with the needs and expectations of customers. Such observation would help in providing useful insight into the psychographics of customers, thus helping Bank of America modulate its services in creating personalized banking experiences. With AI tools, Bank of America can uncover patterns and trends difficult to point out manually, thus making more knowledgeable and calculated decisions. Still, the bank needs to monitor accuracy and the ethical landscape regarding AI interactions so that AI-driven services remain fair and transparent while respecting consumers' privacy. The evaluation of the impact of AI on consumer experiences will help Bank of America strike a balance between mechanization and human touch. AI should be made not to replace personalized customer support but to supplement it.

Objective #4: Standardize Evaluation Process

Ensuring consistency, fairness, and efficiency across various business processes is essential for workplace dynamics and employee retention. Applying AI-driven evaluation to Bank of America will go a long way in speeding up decisions and removing human bias so that the employees are judged on the same yardstick. AI can analyze lots of data at a much higher speed compared to what it would take for human evaluators to find insights, giving rise to an objective-oriented approach since subjective judgment may become minimal in evaluation processes compared to the traditional methods. Standardized evaluations will also help in keeping track of employees over a certain period of time, thereby leading to a comprehensive understanding of meeting organizational objectives. In this modern fast-paced age of technological changes, applications of AI for evaluations will provide Bank of America a significant competitive edge developing a more transparent data-based work culture.

B. Proposed Activities and Timelines

The ultimate goal of the strategic plan outlined below is to maximize the use of AI at Bank of America through D&I initiatives. This approach AIMS to strengthen workplace culture, enhance customer satisfaction, and boost productivity.

AIMS Initiative

A

Bank of America must first attract and retain diverse talent to improve AI practices, which comes from using Bank of America's integrated marketing AI, Intelligence Recievables. The recruitment process will be tedious, seeking employees who emphasize skills and problem-solving abilities rather than relying solely on traditional metrics like GPA. The AIMS Internship will be advertised to people of all backgrounds and demographics, using Bank of America's newly created AIM AI to accept or reject applicants based on the specific skill sets desired by Bank of America, forming the diverse workplace desired by many. Upon completion of the internship, Bank of America's recruitment managers, finance, and technology consultants will appoint the most skilled workers based on how well they were able to work with AI tools and to what extent they were a benefactor during their time in the internship.

I

Building an AI-centric culture requires fostering an inclusive environment where employees understand and engage with AI technologies. Bank of America should host company-wide events such as "Tech & Innovation Week," where employees participate in hands-on workshops, panel discussions, and gamified challenges focusing on AI for 5 days for 1 week per month. These events would be designed to help employees learn about Bank of America's AI strategies, address concerns, and explore how AI can improve both their roles and the company as a whole. Eventually, through leadership and strong, strategic communication, the goal will be that experienced employees thriving with Bank of America's AI strategies system will assist and mentor future employees going through future Tech & Innovation Weeks.

M

Evaluating and maintaining customer satisfaction at the core is done without AI and through humans, however, Bank of America can build an AI that can factor out all major issues/complaints to efficiently solve various issues. By using advanced Natural Language Processing (NLP) techniques, AI can analyze text from surveys, social media posts, emails, and call transcripts to determine customer sentiment in real time. This would allow Bank of America to quickly identify areas of dissatisfaction, address emerging issues promptly, and gain actionable insights into customer needs. The continuous analysis of these various trends will enable proactive improvements in service quality, helping to elevate customer satisfaction and loyalty over time. Moreover, this can also be applicable to evaluate Bank of America's employee's thoughts on workplace dynamics, allowing Bank of America to address any and all issues quickly and efficiently.

S

To ensure the success of AI integration in Bank of America, it is essential to track its impact on diversity, employee engagement, and business performance. Bank of America should establish measurable goals such as tracking AI-driven hiring outcomes, the success rates of AI-enhanced projects, and employee feedback from engagement surveys, Combining the quantitive data (e.g. AI adoption rates, performance metrics) with the qualitative data (eg. employee focus groups/event feedback) will provide a comprehensive view of AI's effect on both the company culture and bottom line. Continuous evaluation and adjustments based on this data will ensure that AI practices are improving innovation, diversity, and overall employee satisfaction.

AIMS TIMELINE

Q1 2026

Start development of AIMS internship admissions and pipeline restructuring via Intelligence Receivables and the newly created AIM AI. Begin Tech & Innovation Week in Bank of America.

Q2 2026

Complete admissions process of AIMS internship and begin program with the diverse, recruited group. Gather consumer feedback data from NLP AI and share it with AIMS internship to evaluate.

Q3 2026

Continue all AIMS initiative plans while having experienced Tech & Innovation Week employees guiding & teaching others how to use AI effectively.

Q4 2026

End the AIMS internship by grouping a new set of consumer feedback through NLP AI and comparing it with the data received at the start of the internship to analyze growth/regression.

Q1 2027

Recruit new employees that brought about significant contributions to Bank of America in the previous fiscal year and instate them as mentors for others that join the AIMS internship in the future.

Q2 2027

Reinstate the AIMS internship, gather consumer and investment financial data using NLP AI, and send out surveys for employee's experiences and growth with AI during the Tech & Innovation Weeks. Evaluate and sort the data using Bank of America's NLP AI.

Q3 2027

Continue all AIMS initiative plans and recycle process of having experienced Tech & Innovation Week employees mentor new employees. Reallocate employees experienced with using AI to various sectors such as analytical data sciences.

Q4 2027

Halt the AIMS internship by grouping a new set of consumer and employee feedback using NLP AI and evaluate customer and employee satisfaction growth as a result of Tech & Innovation Week and AIMS internship.

C. Proposed Metrics or Key Performance Indicators to Measure Plan Effectiveness

To assess the impact of the AIMS initiative on Bank of America's diversity and AI practices, we can use key performance indicators such as personal testimonies, surveys, analytical data on AI usage, and the Bank of America D&I Impact Assessment.

Key Metrics

AI-Driven Diverse Talent Acquisition

- 25% increase in applicants from diverse backgrounds through AI-driven recruitment.

AI Integration Success in Internships

- 20% increase in intern retention rates post-internship, based on AI-related and overall performance.

Tech Week Employee Engagement

- 90% participation in Tech & Innovation Week and 80% completion rate for AI-related challenges.

Customer Satisfaction via AI

- 20% reduction in customer complaints identified through AI sentiment analysis.

Rationale

By leveraging AIM AI to assess applicants based on skills and problem-solving abilities, Bank of America will attract a more diverse talent pool. This metric will track the success of the AI-powered recruitment process in broadening diversity in the talent pipeline, contributing to a more inclusive workplace.

The AIMS Internship program, focused on AI skills and problem-solving, can be evaluated by tracking intern retention based on their success with AI tools and other tasks. A higher retention rate will reflect the program's success in preparing interns for long-term roles at Bank of America.

The success of Tech & Innovation Week, where employees engage in AI-focused workshops and gamified challenges, can be measured by participation and completion rates. High engagement and completion will demonstrate that employees are actively learning and adapting to AI tools, fostering an AI-centric culture at Bank of America.

Bank of America will use AI and Natural Language Processing (NLP) to analyze customer feedback in real time. A reduction in customer complaints will show that AI is enabling the company to address issues quickly and effectively, improving customer satisfaction and loyalty.

Performance Indicators

Personal Testimony	Personal testimony is key in documenting AI integration progress. It humanizes data, offering insights into how AI adoption impacts people and teams. These stories help identify areas where AI has improved efficiency and highlight challenges that need attention, ensuring a comprehensive understanding of AI's role for a more inclusive and effective strategy.
Surveys	Conducting annual, monthly, or quarterly surveys serves as a good method to gather comprehensive quantitative and qualitative data. These surveys offer valuable insights into numerical metrics and personal perspectives regarding AI initiatives, enabling a comprehensive understanding of their impact within the organization.
Analytical Data	Analytical data is a powerful tool for advancing D&I efforts. By presenting charts and trends as key evidence can provide a solid foundation for making informed decisions and guiding the ongoing improvement of diversity and inclusion initiatives through the use of AI.
Bank of America Impact Assessment	Evaluating the effectiveness of our AI integration is crucial for understanding its impact on both our workforce and customer satisfaction. By analyzing these areas, we can identify strengths and areas for improvement. This assessment will guide our strategies, ensuring AI practices align with our goals and enhance the experience for employees and customers.

VI. PROPOSED BUDGET

The AIMS initiative expenditures allow Bank of America to optimize profits by increasing diversity and inclusivity. More specifically, shown in the chart below, covering a period of 5 years.

Activities	Expensess	Year One Total	Two Year Total
A.1 Design and Planning	$100,000 on Creating the AIMS Internship + $950,000 on Building AIM AI for Recruiting Interns + $5,000 on Yearly Optimization Based on Data from Years Prior +	$1,550,000	$1,560,000
A.2 Recruitment	$700,000 on Salaries for 10 New Employees ($70,000/Employee)	$700,000	$1,400,000
I.1 Tech & Innovation Week Program	$10,000 for Starting Up Tech & Innovation Week Program + $5,000 on Yearly optimization Based on Data from Previous Years	$10,000	$30,000
I.2 Retrain Recruiters	$30,000 on Retraining Staff	$30,000	$30,000
M1 Natural Language Processing AI Development	$100,000 to create NLP Techniques AI + $50,000 in order to innovate and expand NLP Techniques AI (throughout the years as new data and technology is produced and obtained by BoA)	$100,000	$150,000
M.2 NLP AI Evaluations and Plans	$100,000 towards Improvements for Customer & Employee Satisfaction + $35,000 on Miscellaneous Costs (Conservative)	$135,000	$235,000
S.1 Development	$700,000 on 10 AI Programmers for AIM & NLPs (One Year)	$700,000	$700,000
S.2 Maintenance	$255,000 on 3 developer to maintain and improve system (Recurring) - AI Experienced Employees	$255,000	$510,000
Total		$3,480,000	$4,615,000

We intentionally kept our numbers outrageously conservative to ensure that we aren't over-optimistic about the AIMS initiative. This strategy ensures a careful and realistic assessment, with the flexibility to make slight adjustments or dial down the budget if necessary, in the best interests of Bnak of America.

Return on Investment (ROI):

Activities	ROI Justification	Total
A. AIM AI & AIMS Internship	Assumptions: Diverse teams and new working environments experience a 20% boost in profitability (McKinsey, 2015). Increased revenue from having more experienced and knowledgeable employees Bank of America's 2024 net income is $24.866 billion Bank of America hires ~20 interns yearly (per state), with ~10 receiving full-time offers. 10 interns of the 20 interns that received offers stay for 2 years (minimum) Calculation: 20% boost in profitability * $24.866 billion net income = $4.973 billion in potential earnings 20% is way too ambitious so lets scale it down to 1% to be conservative 1% boost in profitability * 24.866 Billion increase = $248.6 million annually. Interns represent 0.6% of the 50,000-employee base (20 / 1200 = 0.6%). Proportional impact on profitability: 0.6% * $248.6 million = $1.491 million.	$1.4 Million
I. Tech & Innovation Week of AI Training	Assumptions: Companies with employees more experienced with modern technologies such as AI (development and evaluations) undergo a significant 15% increase in revenue (Deloitte, 2019). Their high level of specialization and modern skills increase their value as an employee Higher engagement in group activities and lessons sees a 5% reduction in employee turnover (industry average) as a result of the creation in a healthy and positive working environment Bank of America has 200,000 employees (per state) with an average salary of $90,000 Calculation: Increased revenue as a result of new AI's and experienced employees: 15% increase in revenue * $24.866 Billion = $3.729 milion annually Employees potentially retained: 1% (potential overall turnover reduction.) * 200,000 = 2000. Cost savings per retained employee: $1,800 (20% * $90,000 (Salary of average employee)). Total cost savings: 2000 * $32,400 = $64.8 million annually. Convervitively 100 employees: 100 * $32,400 = $3.24 million annually	$3.24 Million
M. Natural Language Processing Techniques	Assumptions: NLP Evaluations can provide ways to improve customer and employee satisfaction, resulting in increased productivity and consumer loyalty (McKinsey, 2019). 100,000 employees, with an average engagement of 64%. A 10% increase in engagement correlates with a 5% rise in productivity (Gallup, 2017). Diverse and inclusive companies see a 20% higher engagement, potentially resulting in a 12.4% increase (63% * 20%) for Bank of America. This is conservatively linked to a 3% productivity increase. Each employee generates an average annual output of $120,000. Calculations: Increased Engagement: 14,880 employees (120,000 * 12.4%). Increased Productivity: 3%. Increased Output per Employee: $3,600 ($120,000 * 3%). Increased Total Output: $53,568,000 (6,200 employees * $1,500). Conservative Estimate: $5.365 million (1% of $53,568,000).	$5.356 Million
S. Evaluations	Won't generate any money however, it will strengthen the effects of other programs.	$0
	Total	$9.996 Million
Return on Investment	($9.996 Million - $3.48 Million) / $3.48 million	287%

VI. BIBLIOGRAPHY

"AI Patents at BofA Increase 94% Since 2022." Bank of America, newsroom.bankofamerica.com/content/newsroom/press-releases/2024/10/ai-patents-at-bofa-increase-94--since-2022.

Bank of America. "Bank of America Customer Service and Contact Numbers." Bank of America, www.bankofamerica.com/customer-service/contact-us.

---. "Online Banking Security From Bank of America." Bank of America, www.bankofamerica.com/security-center/online-mobile-banking-privacy/online-banking-security.

"Bank of America's SWOT Analysis | EdrawMax Online." Edrawsoft, www.edrawmax.com/article/bank-of-america-swot-analysis.html.

Banking Exchange Staff. "Generative AI Will Boost Corporate Profits Predicts Bank of America Survey." Banking Exchange, 23 Sept. 2024, m.bankingexchange.com/news-feed/item/10118-generative-ai-will-boost-corporate-profits-predicts-bank-of-america-survey. Accessed 19 Dec. 2024.

Blanco, Luisa R., et al. "Understanding the Racial/Ethnic Gap in Bank Account Ownership Among Older Adults." Journal of Consumer Affairs, vol. 53, no. 2, Apr. 2018, pp. 324–54. https://doi.org/10.1111/joca.12188.

"Diversity and Inclusion in the Workplace - Bank of America." Bank of America, about.bankofamerica.com/en/working-here/diversity-inclusion.

Gandel, Stephen. "Citigroup and BofA Join Other Big US Banks in Beating Gloomy Forecasts." Financial Times, 15 Oct. 2024, www.ft.com/content/4f3e9cd7-d663-4173-9164-186ef382b860.

"Intelligent Receivables." Bank of America, business.bofa.com/en-us/content/receivables-management.html.

Mathews, Anshika. "How Bank of America's Erica Boosted Earnings by 19% and What'S Coming Next." AIM Research Artificial Intelligence Market Insights, 31 July 2024, aimresearch.co/market-industry/how-bank-of-americas-erica-boosted-earnings-by-19-and-whats-coming-next?

Statista. "Bank of America Customers in the U.S. 2024." Statista, 7 June 2024, www.statista.com/statistics/228038/people-in-households-with-bank-of-america-customers-usa.

Thompsett, Louis. "BofA Grows AI Patent Portfolio 94%, Leading Financial Innovation." FinTech Magazine, 24 Oct. 2024, fintechmagazine.com/articles/bofa-reports-94-growth-in-ai-patent-portfolio.